BioCryst Pharmaceuticals

Thoughts into 3Q; Watching Pediatric Launch

Neutral

BCRX, BCRX US
Price (28 Sep 26):$8.47
▲**Price Target (Dec-27):$13.00**
Prior (Dec-27):$12.00

We are updating our model in an effort to reflect shipping of Orladeyo pediatric pellets as of early August. Although widely acknowledged to be a relatively minor contribution for the *current* year, looking out, we see potential for a >$100mm pediatric contribution to 2030 Orladeyo sales. We now model 2026 Orladeyo sales of $643mm (up from $636mm prior), which is at the upper end of mgmt's $625-645mm range and compares to BBG cons of $636mm. For 3Q specifically, we model an in-line quarter with total rev of $167mm and Oraldeyo at $164mm, which compares to cons at $166mm and $163mm, respectively. More broadly on BCRX, we remain focused on what rare disease pipeline assets might be acquired following the shift in strategy to an external innovation model. Stepping back, while the peds launch represents an incremental opportunity that is off to a good start and the stock is trading at a discount to our valuation, we would prefer to get closer to the navenibart launch and/or see what BCRX's next deal(s) looks like before becoming more constructive.

- **Initial prescription patterns suggest strong early interest**. Before the company began shipping the pediatric pellets in early August, BioCryst reported with Q2 results that it had already received 47 prescriptions. Recall that Orladeyo pellets were approved for ages 2+ in December but a batch issue delayed shipping. Considering that 47 scripts represents ~10% of the ~500 diagnosed ped HAE patients in the US and ~25% of the estimated ~200 estimated to already be on HAE prophylaxis, we see this early prescription stat as compelling. The other approved competition in the 2+ pediatric age group is Takhzyro, an injection that can induce ISRs (other injectables are approved for ages 6+), and we see Orladeyo's oral formulation as particularly attractive for children, setting it up to capture a meaningful portion of the pediatric prophy market. BioCryst estimates that perhaps 1.1-1.2k children in the US have HAE and that the condition is underdiagnosed; as with many rare diseases, we see potential for diagnosis to improve over time. Nearer-term, we see increased prophy use given an oral option as a greater lever than increased diagnosis.
- **Incremental contribution this year, but potential for $100mm+ contribution in 2030.** Mgmt has remained relatively conservative with the contribution this year, keeping Orladeyo guidance steady at $625-645mm despite the initial delay and the subsequent strong early script traction. We model Orladeyo sales of $643/$738/$818mm vs bbg cons of $636/$738/$843mm in 2026/2027/2028.
- **Dec-27 PT moves to $13 from $12; maintain Neutral rating**.

Biotechnology - Large Cap

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E ($)	(2.56)	(2.41)	6.1%
Adj. EPS - 27E ($)	0.60	0.59	-1.7%

Quarterly Forecasts (FYE Dec)

Adj. EPS ($)

	2025A	2026E	2027E
Q1	0.00	(2.98)A	0.00
Q2	0.02	0.30A	0.00
Q3	0.06	0.08	0.00
Q4	1.12	0.06	0.00
FY	1.21	(2.41)	0.59

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	65	46	66	90	90
Growth	2	4	19	36	82
Momentum	88	29	6	90	8
Quality	86	3	49	68	77
Low Vol	29	29	35	40	79
ESGQ	95	98	94	100	90

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 5 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	8.6%	-13.8%	-14.8%	11.0%
Rel	-4.9%	-8.6%	-8.4%	-4.7%

Company Data

Shares O/S (mn)	264
52-week range ($)	11.22-6.00
Market cap ($ mn)	2,234.50
Exchange rate	1.00
Free float (%)	98.6%
3M ADV (mn)	4.13
3M ADV ($ mn)	38.8
Volatility (90 Day)	50
Index	RUSSELL 2000
BBG ANR (Buy | Hold | Sell)	9|2|0

Key Metrics (FYE Dec)

$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	875	715	750	839
Adj. EBITDA	342	151	187	282
Adj. EBIT	341	149	185	280
Adj. net income	264	(606)	156	235
Adj. EPS	1.21	(2.41)	0.59	0.89
BBG EPS	0.17	(2.29)	0.75	1.03
Cashflow from operations	347	139	226	307
FCFF	407	193	256	336
Margins and Growth				
Revenue Growth Y/Y (%)	94.1%	(18.3%)	4.9%	11.9%
EBITDA margin	39.1%	21.1%	24.9%	33.6%
EBITDA Growth Y/Y (%)	(26497.7%)	(56.0%)	23.9%	50.8%
EBIT margin	39.0%	20.8%	24.7%	33.4%
Net margin	30.2%	(84.9%)	20.8%	28.0%
Adj. EPS growth	(380.7%)	(299.4%)	(124.6%)	50.5%
Ratios				
Adj. tax rate	1.3%	(0.3%)	0.0%	5.0%
Interest cover	5.4	2.7	6.4	8.7
Net debt/Equity	0.3	NM	NM	NM
Net debt/EBITDA	NM	0.8	NM	NM
ROCE	(352.4%)	238.2%	56.0%	42.0%
ROE	(88.7%)	303.8%	(111.5%)	125.1%
Valuation				
FCFF yield	22.0%	9.0%	11.4%	15.0%
Dividend yield	-	-	-	-
EV/Revenue	2.8	3.1	3.1	2.5
EV/EBITDA	7.2	14.6	12.6	7.5
Adj. P/E	7.0	NM	14.3	9.5

Summary Investment Thesis and Valuation

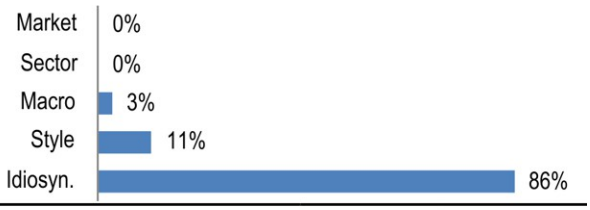
Investment Thesis

While we see some upside to valuation based on the existing business alone, we think the path to upside for BCRX in the near/medium term is heavily dependent on the navenibart launch and the market's view of its future deal(s), and we would prefer to get closer to the navenibart launch and/or see what BCRX's next deal looks like before becoming more constructive on the stock. Maintain Neutral rating.

Valuation

Raising December 2027 PT to $13 from $12 on higher Orladeyo revenue. Our price target is DCF-derived and reflects credit from Orladeyo and risk-adjusted pipeline credit. We use a WACC of 10.0% and 0% terminal growth rate.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	-0.05	0.02
Sect: Health Care	0.11	0.02
Ind: Pharma, Bio, Life Sci	0.07	-0.03
Macro:		
Crude Oil	-0.25	-0.15
US 10yr yield	-0.19	-0.10
Credit Spread	0.19	0.10
Quant Styles:		
DivYld	-0.34	-0.24
Quality	0.27	0.22
Growth	0.20	0.18

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

BioCryst Pharmaceuticals *(Neutral; Price Target: $13.00)*

Investment Thesis
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Risks to Rating and Price Target
BCRX is susceptible to the standard risks that apply to the entire biotech industry, including development, regulatory, commercial, manufacturing, financing, and IP pitfalls. Risks more specific to BCRX include failure to successfully commercialize and grow navenibart, emergence of competition that takes market share from Orladeyo, and pipeline setbacks. Upside risks include value-enhancing biz dev, better-than-expected Orladeyo performance, and better ph III data/faster-than-expected ramp for navenibart.

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BioCryst Pharmaceuticals: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E
Revenue	**451**	**875**	**715**	**750**
COGS	(12)	(19)	(18)	(19)
Gross profit	**438**	**856**	**697**	**731**
SG&A	(266)	(349)	(348)	(361)
Adj. EBITDA	**(1)**	**342**	**151**	**187**
D&A	(1)	(1)	(2)	(1)
Adj. EBIT	**(3)**	**341**	**149**	**185**
Net Interest	(84)	(63)	(55)	(29)
Adj. PBT	**(87)**	**267**	**(604)**	**156**
Tax	(2)	(4)	(2)	0
Minority Interest	-	-	-	-
Adj. Net Income	**(89)**	**264**	**(606)**	**156**
Reported EPS	(0.43)	1.21	(2.41)	0.59
Adj. EPS	**(0.43)**	**1.21**	**(2.41)**	**0.59**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	207	219	252	264

Income Statement - Quarterly	1Q26A	2Q26A	3Q26E	4Q26E
Revenue	**156A**	**218A**	**167**	**173**
COGS	(5)A	(4)A	(4)	(4)
Gross profit	**151A**	**214A**	**163**	**169**
SG&A	(95)A	(64)A	(88)	(102)
Adj. EBITDA	**(3)A**	**99A**	**29**	**26**
D&A	(0)A	(1)A	(0)	(1)
Adj. EBIT	**(4)A**	**98A**	**29**	**25**
Net Interest	(19)A	(19)A	(9)	(9)
Adj. PBT	**(721)A**	**79A**	**20**	**17**
Tax	(1)A	(1)A	0	0
Minority Interest	-	-	-	-
Adj. Net Income	**(722)A**	**78A**	**20**	**17**
Reported EPS	(2.98)A	0.30A	0.08	0.06
Adj. EPS	**(2.98)A**	**0.30A**	**0.08**	**0.06**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	242A	265A	266	266

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	105	90	353	579
Accounts receivable	79	107	111	111
Inventories	8	5	9	10
Other current assets	230	202	183	183
Current assets	**422**	**404**	**655**	**883**
PP&E	8	9	9	8
LT investments	23	24	32	32
Other non current assets	37	77	32	32
Total assets	**490**	**514**	**729**	**955**
Short term borrowings	-	-	-	-
Payables	12	16	12	12
Other short term liabilities	113	126	125	131
Current liabilities	**125**	**142**	**137**	**144**
Long-term debt	350	54	471	471
Other long term liabilities	491	437	401	340
Total liabilities	**966**	**633**	**1,009**	**955**
Shareholders' equity	(476)	(119)	(280)	0
Minority interests	-	-	-	-
Total liabilities & equity	**490**	**514**	**729**	**955**
BVPS	**(2.30)**	**(0.55)**	**(1.11)**	**0.00**
y/y Growth	*(2.9%)*	*(76.3%)*	*104.0%*	*(100.0%)*
Net debt/(cash)	246	(36)	118	(109)
Cash flow from operating activities	**(52)**	**347**	**139**	**226**
o/w Depreciation & amortization	1	1	2	1
o/w Changes in working capital	(87)	(57)	(74)	6
Cash flow from investing activities	**53**	**(14)**	**(280)**	**0**
o/w Capital expenditure	(1)	(2)	(2)	0
as % of sales	*0.2%*	*0.3%*	*0.2%*	*0.0%*
Cash flow from financing activities	**(6)**	**(350)**	**404**	**0**
o/w Dividends paid	-	-	-	-
o/w Net debt issued/(repaid)	0	(310)	381	0
Net change in cash	**(5)**	**(16)**	**263**	**226**
Adj. Free cash flow to firm	**32**	**407**	**193**	**256**
y/y Growth	*(788.1%)*	*1153.7%*	*(52.6%)*	*32.6%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E
Gross margin	97.3%	97.8%	97.5%	97.5%
EBITDA margin	(0.3%)	39.1%	21.1%	24.9%
EBIT margin	(0.6%)	39.0%	20.8%	24.7%
Net profit margin	(19.7%)	30.2%	(84.9%)	20.8%
ROE	19.1%	(88.7%)	303.8%	(111.5%)
ROA	(17.6%)	52.5%	(97.6%)	18.5%
ROCE	2.1%	(352.4%)	238.2%	56.0%
SG&A/Sales	59.0%	39.9%	48.7%	48.1%
Net debt/equity	NM	0.3	NM	NM
P/E (x)	NM	7.0	NM	14.3
P/BV (x)	NM	NM	NM	32,357.9
EV/EBITDA (x)	NM	7.2	14.6	12.6
Dividend Yield	-	-	-	-
Sales/Assets (x)	0.9	1.7	1.1	0.9
Interest cover (x)	NM	5.4	2.7	6.4
Operating leverage	(271.0%)	(14355.8%)	307.5%	499.5%
Revenue y/y Growth	36.0%	94.1%	(18.3%)	4.9%
EBITDA y/y Growth	(98.7%)	(26497.7%)	(56.0%)	23.9%
Tax rate	(2.2%)	1.3%	(0.3%)	0.0%
Adj. Net Income y/y Growth	(60.8%)	(396.9%)	(329.8%)	(125.7%)
EPS y/y Growth	(63.5%)	(380.7%)	(299.4%)	(124.6%)
DPS y/y Growth	-	-	-	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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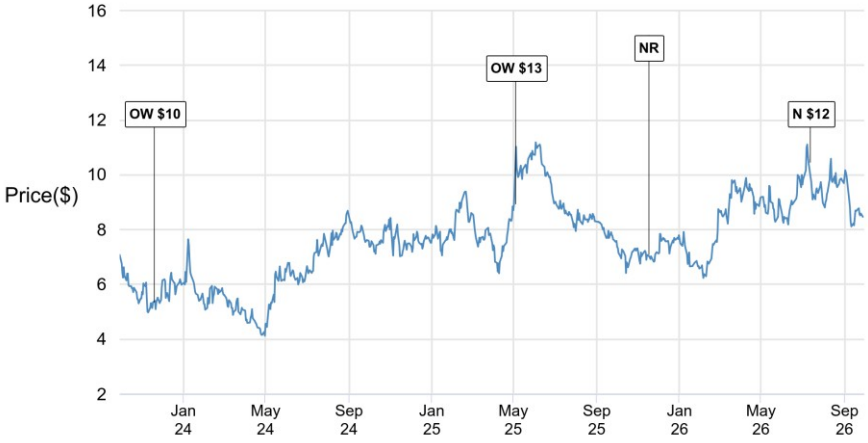
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BioCryst Pharmaceuticals (BCRX, BCRX US) Price Chart



Date	Rating	Price ($)	Price Target ($)
20-Nov-23	OW	5.35	10
05-May-25	OW	8.93	13
17-Nov-25	NR	7.08	--
13-Jul-26	N	10.45	12

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Aug 08, 2014. All share prices are as of market close on the previous business day.

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IB clients**	83%	80%	73%
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IB clients**	95%	92%	87%

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****Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.**
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